

HEMP AND CBD PRODUCT DISCLOSURE

This Hemp and CBD Product Disclosure form is provided by the undersigned merchant or sole proprietor ("Merchant") to Priority Payment Systems LLC ("Processor") as a component of the application process for Processor's payment card processing services. This document uses the term "Hemp" to mean "Cannabis sativa L. and any part of that plant, including the seeds thereof and all derivatives, extracts, cannabinoids, isomers, acids, salts, and salts of isomers, whether growing or not, with a delta-9 tetrahydrocannabinol concentration of not more than 0.3 percent on a dry weight basis." As the Agriculture Improvement Act of 2018 ("2018 Farm Bill") amended the controlled substances act ("CSA") to exclude Hemp from the CSA's definition of Marijuana. The 2018 Farm Bill also established a new regulatory framework for the production of Hemp and Hemp-derived substances, such as CBD derived from Hemp, that contain 0.3% THC or less. Merchant has indicated to Processor that it intends to utilize the card processing services referenced in the application to support the sale, purchase, delivery, exchange (or refunds related thereto) of Hemp or cannabidiol ("CBD") products derived from Hemp (all with no more than 0.3% THC). Merchant understands that Processor does not provide services to merchants involved in the manufacture, distribution, and sale of Marijuana. Processor may change any term of this Agreement in its sole discretion. Processor reserves the right to freeze or close Merchant's account at any time with or without notice and in its sole discretion.

By submitting this Disclosure, Merchant represents and warrants that the following information is true, correct, complete, and accurate:

1. CORPORATE AND LICENSING INFORMATION

Business Legal Name: _____

State Hemp retail license no. (if applicable): _____

(attach copies of all licenses issued)

2. PRODUCT AND SERVICES INFORMATION

Does Merchant engage in the growing or cultivation of Hemp plants? _____

Does the merchant engage in the manufacture/processing of Hemp plants/CBD? _____

Does Merchant market or advertise Hemp or CBD products to the public? _____ (if yes, attach a copy of all print and online marketing and advertising materials)

3. HEMP OR CBD PRODUCTS OFFERED FOR SALE

Complete attached schedule of Hemp or CBD Products offered for Sale.

4. DECLARATION OF COMPLIANCE WITH LAWS GOVERNING THE RETAIL SALE OF HEMP OR CBD PRODUCTS

Merchant represents that it is engaged in a Hemp or CBD business (as defined by applicable law), and hereby represents and warrants to Priority, together with its parent, subsidiaries and affiliates (collectively in this Section 5, "Processor"), that Merchant's business complies with all local, state, and federal laws, ordinances, and regulations applicable to Hemp and CBD businesses. Merchant further represents and warrants that:

- Merchant is in compliance with the terms of its applicable license(s) and does all material things required of a holder thereof in accordance with applicable federal and state laws and regulations;
- Merchant will provide Processor with a renewed version of this Disclosure form on an annual basis, and will notify Processor within five (5) business days if there has been a change with respect to its license(s) (including those applicable to key personnel and premises, etc.) or any changes to the status of Merchant's license(s) (including

investigations or enforcement actions) or the primary location or additional locations at which the activities are being conducted;

- Merchant will periodically review and inspect its websites and retail locations for compliance with applicable state and federal laws and requirements;
- Merchant will only buy Hemp or CBD from appropriately licensed distributors within the applicable states where Merchant is licensed and will not ship or deliver Hemp or CBD (i) outside of the United States of America or (ii) outside of a state where licensed. All Hemp or CBD products offered for sale by Merchant shall be assembled, manufactured, or processed pursuant to the requirements and conditions governing the cultivation and processing of Hemp or CBD products as provided for in the Agriculture Act of 2014 (H.R. 2642, Pub. L. 113-79), as the same may be amended from time to time; and
- Merchant will only sell Delta-8 tetrahydrocannabinol (i.e., Delta-8 TCH) products in states where such sales are legally permissible.

Merchant will only sell acceptable cannabinoids (please see chart below)

Type	Source	Synthetic	Manufactured by	Acceptable?
Delta 9 THC	Cannabis/Hemp flower	No	Farming	As long as Total THC <0.3%
THC a	Cannabis/Hemp flower	No	Farming	
THC p	Cannabis/Hemp flower	No	Farming	As long as Total THC <0.3%
THC v	Cannabis/Hemp flower	No	Farming	As long as Total THC <0.3%
CBD	Cannabis/Hemp flower	No	Farming or organic chemical process	As long as Total THC <0.3%
CBN	Cannabis/Hemp flower	No	Farming or organic chemical process	As long as Total THC <0.3%
CBG	Cannabis/Hemp flower	No	Farming or organic chemical process	As long as Total THC <0.3%
Delta 8 THC	Cannabis/Hemp flower	No, but only found in miniscule quantities	Farming or organic chemical process	As long as Total THC <0.3%
Delta 10 THC	Cannabis/Hemp flower	No, but only found in miniscule quantities	Farming or organic chemical process	As long as Total THC <0.3%
HHC	Cannabis/Hemp seeds/pollen or THC+Hydrogen or CBD+ Hydrogen+catalyst	Made organically from THC or artificially form CBD (semi synthetic), found in seeds/pollen	Organic chemical process or non-organic chemical process	No
HHC-O	Not naturally occurring	Yes	Non-organic chemical process, made by using acetic anhydride + THC/CBD	No
THC-O/Delta-0	Not naturally occurring	Yes	Non-organic chemical process, made by using acetic anhydride + THC/CBD	No

5. CERTIFICATION

I, the undersigned, certify that I have the authority to bind Merchant to this Disclosure; that Merchant does not know of any reason and has not received notice from any governmental authority of any revocation or intention to revoke its license(s); that the statements and responses provided in this disclosure are true and accurate. Once signed, the contents of this Disclosure and Declaration are incorporated by reference into any agreements between the Merchant and Processor, including but not limited to the Merchant Application and Agreement (which includes the Program Guide), dated on or about _____, 20____.

(Merchant Business Legal Name and d/b/a):

Signature:

Name:

Title:

Date:

Schedule Hemp and CBD

List of Hemp or CBD products offered for sale by Merchant

Product Type/Name	Distributor	State of Manufacture
1.		
2.		
3.		
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